

farmers in India, saw a 73% increase in budgetary support. It received ₹2,600 crore, as opposed to ₹1,496 crore in FY25. “With farmers collectively getting nearly 75% of all electricity subsidies, solar irrigation could shift demand to daylight hours and power our renewable future,” says Shruti Sharma, Lead Energy Programme of independent think tank International Institute for Sustainable Development.

In a boost to minerals needed for energy transition, the government exempted cobalt powder and waste, the scrap of lithium-ion batteries, lead, zinc and 12 other critical minerals to help secure their availability for manufacturing in India.

NUCLEAR BOOST

The Budget renewed the support for nuclear energy with the introduction of a ₹20,000-crore Nuclear Energy Mission aimed at developing small modular reactors (SMRs), signaling India’s focus on cutting emissions in energy production.

The initiative targets the operationalisation of at least five indigenously developed SMRs by 2033. Experts hail this as a big step.

To fast track private investment, the government said it would take up amendments to the Atomic Energy Act and the Civil Liability for Nuclear Damage Act. The target is for the development of at least 100 GW of nuclear energy by 2047.

The government has invited bids from private players for the Bharat Small Reactors (BSR) announced in the last Budget. Some of the major players—Tata Power, Reliance Power, JSW Energy, NTPC and IOCL—are already looking to foray into the nuclear sector as part of their decarbonisation goals. Nuclear is considered a clean source of energy and these companies are looking to partner with the Nuclear Power Corporation of India for R&D.



“The initiative to promote solar cell manufacturing is a strategic step towards creating a robust manufacturing ecosystem in India”

VARCHASVI GAGAL

MD & CEO, DATTA POWER INFRA



“There is a continued focus on domestic manufacturing of generation and storage equipment, and there is new-found mention of high-voltage transmission equipment”

PRATIK AGARWAL

MANAGING DIRECTOR, STERLITE POWER AND CHAIRMAN, SERENTICA RENEWABLES

DISTRIBUTION REFORMS

The power sector reforms to curtail losses to state power distribution companies (discoms) have remained a challenge. The total debt of discoms rose to ₹70,000 crore during 2022-23, according to the annual discoms audit report of Power Finance Corporation (PFC), published in 2024.

The Budget announced incentives for electricity distribution reforms and augmentation of intra-state transmission capacity by states to improve the financial health and capacity of electricity companies. The government has allowed an additional borrowing of 0.5% of GSDP (gross state domestic product) to states contingent on these reforms.

Sterlite’s Agarwal says India’s power sector is doing quite well when it comes to generation and inter-state transmission but it’s the last mile transmission & distribution (T&D) that needs the most attention.

The Reform-Linked Distribution Scheme to get private investment in the power transmission and distribution segment saw a 30% increase in Budget allocation for FY26.

The scheme envisages support to discoms if they adopt reform packages, including public-private partnerships for discoms and adoption of various franchisee models at the distribution level, including multiple supply franchises. However, states have remained reluctant to allow private investments in discoms.

Power is fundamental to a country’s growth story. The government’s focus has been on ramping up power availability to meet rising demand. The FY26 Budget has given the needed impetus to expedite manufacturing, reforms and infrastructure development. **BT**

@richajourno